

Outlook

From	ayanda.mthembu@pricing.customer.value.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, credit.risk.retail@keystonebank.co.za
Cc	compliance.retail@keystonebank.co.za, model.risk@keystonebank.co.za
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The pricing spread needs an outcomes review

Hi team,

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use September 2020 as the new evidence point rather than recycling the earlier conclusion. Different teams have produced different answers from the same period, so population and timing rules need to be visible.

Can you test these explanations rather than choosing one at the start?

- later distress is concentrated in affordability edges rather than price
- higher spreads align with higher expected risk
- channel or product creates unexplained pricing differences

The decision is which pricing rules need review and which differences require conduct testing. Please give us a model-ready table, data dictionary and an honest baseline.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots. This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Thanks